

FRANCHISE DEVELOPMENT AGREEMENT

This Agreement is made and executed on this **14th day of March 2026**

BETWEEN:

Sparkleminds, having its office at #307 Swiss Complex, 33 Race Course Road, Bangalore-560001, Karnataka, India (hereinafter called '**Consultant/SM**') through its Authorized Signatory, Mr. Amit Nahar – CEO, Bangalore, which expression shall, unless it be repugnant to the context or meaning thereof, be deemed to mean and include its successors in interest, legal representatives, heirs, administrators, assigns etc. of the one part.

AND

AAA, having its registered office at AAA (hereinafter called as "**Company/Client**") through its Authorized Signatory, AAA, AAA, which expression shall, unless it is repugnant to the context or meaning thereof, be deemed to mean and include its successors in interest, legal representatives, heirs, administrators, assigns, etc. of the other part. For the sake of brevity, the Consultant and the Company are hereinafter referred to individually as the "Party" and jointly as the "Parties".

WHEREAS the Client wants to expand its business and structure its franchise strategy and recruitment of franchisees across India and in this regard wants to engage the services of an Expert Company who can assist the Client in finalizing the franchise strategy and thereafter recruiting franchisees on a regional, national and/or international basis.

WHEREAS SM is having extensive knowledge and infrastructure and ready to provide information and services in the process of executing the franchise expansion for the Client in a phased manner.

Now it is hereby agreed by and between the Parties hereto as follows:

1. Representation

The Consultant will represent the Client to all intents and purposes in connection with the above said services and all affairs ancillary and incidental to the same.

2. E-Meetings with Key Personnel & Point of Contact

The first e-meeting will happen with the Client's key personnel of the company, who have been approved by SM to discuss and understand in depth the Client's franchise objectives and its franchise readiness. Also, the Client shall designate one point of contact with whom SM shall interact for all its requirements from the Client. The first consulting e-meeting will happen via Teams / Google Meet. In certain specific cases, there could be a personal meeting which could be mutually agreed upon. Most meetings otherwise will be via Video Conferencing. No external consultants / advisors / any other third parties will be allowed to participate in the consulting meetings. Only the Founders / Partners / Managing Directors / senior personnel employed directly by the Client will be permitted to be a part of the meeting who have been pre-approved by SM. In case the Client insists for a personal meeting after the initial virtual video meeting, there would be additional visit fee in addition to the air travel, boarding, lodging and food costs that the franchisor would have to bear for two consultants who would travel to the franchisor location.

3. Documentation and Legal Agreement

SM will ask the Client to supply the answers to its detailed Questionnaire/s and return these to SM together with any additional written materials that describe the Client's services and/or products. SM will also ask the Client the basic agreements, Financials, ROI's, Estimated Business Projections, and Company History etc. that the Client has for review and integration with the franchise marketing strategy that would be developed. SM could also recommend research, audit, design companies for any other specialized services which the Client may seek.

4. Franchise Marketing Brochure

SM shall consult with the Client, instruct and assist Client in the development of the layout and wording of a franchise-marketing brochure for use by Client as a marketing tool in the offering of its franchise opportunity ("Brochure"). Based upon the prior documents and the discussions and strategic inputs finalized between the parties hereto SM shall provide Client with the suggested wording and layout for the Brochure.

5. Systems and Forms

SM shall discuss with Client the various systems, forms and reporting procedures that are available and will recommend changes in certain systems and forms to Client, if needed.

6. Support Programs

SM shall, during the term of this agreement provide, additional franchise recruitment support programs. These services shall include advice on programs and systems to provide an ongoing link between Client and its franchisees, including processing all the queries they get for their franchisees from all the sources.

7. Franchise Marketing and Franchise Manager Services

Upon approval of the franchise marketing kit and the preparation of the franchise agreement, if the Client wishes to use the services of SM for recruitment of franchises, then SM shall commence the franchise marketing phase and provide Franchise Marketing and Sales consulting services to Client concerning the various methods of franchise marketing and the mechanics of conducting and completing the franchise sale thereby interacting and attempting to conclude franchise sales for the Client. SM shall also provide a Franchise Manager who will process all leads generated by the Client and manage the entire franchise conversions for the company during the tenure of the agreement through its account manager service. SM shall take a success fee for every franchise conversion it enables as mentioned in the Payments section. The Client could choose this part of the activity and hire the services of SM for recruitment of franchises or exempt themselves completely from this part and recruit their franchises on their own after the preparation of the franchise agreement.

8. Marketing, Advertising, Exhibition Participation & Lead Management

Once the Client approves the Franchise Marketing, SM shall: (I) Supply Client with samples of suggested advertising materials designed to attract prospects and leads for the sale of franchises. SM will also advise the Client on the various methods of lead generations and activities like conducting discovery day programs, trade magazines and other effective media. (II) Prospective franchisees seeking the opportunity will be given a unique customer identification number for easier processing of the queries. If the company signs any agreement with that customer or his first/blood relatives, it shall process the enquiry under the same number. (III) Upon introduction or enquiry of any prospective franchisee introduced by SM, the Client shall route all its communication through SM only and all meetings thereafter shall happen only when there is a SM representative present.

9. Payments

I. Consulting Fee

Client shall pay SM a consulting fee of Rs. 2,00,000/- (Two Lakh Only) + GST for creation of a franchise marketing kit, covering the following franchise models: FICO, FOCO.

(a) Upon sign up of this Agreement the Client shall pay a fee of Rs. 1,50,000/- (One Lakh Fifty Thousand Only) + GST.

(b) The Balance Fee of Rs. 50,000/- (Fifty Thousand Only) + GST will be paid within 30 (Thirty) days of submission of the Kit subject to a maximum of 3 [Three] revisions.

(c) The balance fees in this clause are paid within forty-five days of sign up of the agreement.

(d) Rs. 50,000/- (Fifty Thousand Only) will be charged per additional FICO / FOCO / FOFO / Master Franchise model.

II. Agreement Fee

(a) SM would charge Rs. 25,000/- (Twenty Five Thousand Only) + GST for assistance in creation of one standard draft franchise agreement. The payment for the agreement fee has to be done before the initiation of the said service.

(b) For every additional agreement draft for any additional Model, Rs. 25,000/- (Twenty Five Thousand Only) would be charged per additional model.

III. Brokerage / Success Fee

The success fee shall be 15% of the Franchise Fee and/or Non-Refundable Fee charged by the Client, payable within 1 working day(s) of receipt.

IV. Franchise Sales Manager Fee

One Franchise Sales Manager Fee of Rs. 75,000/- (Seventy Five Thousand Only) + GST will be charged per quarter (every three months) after the approval of the franchise marketing kit and approval to start the franchise marketing phase. This includes marketing on FranchiseBazar.com and its social media platforms.

V. Application / LoI / MoU Fee

The Client will pay SM all the fees it collects vide its LOI/MOU/Application Form for processing the franchisee's applications. If the prospect does not sign the agreement, the same would be the fees payable to SM. However, if the prospect is rejected and the amount is refunded within 14 [Fourteen] days, then the Client need not pay the same to SM.

VI. Payments in Favor Of:

The Client shall make all payments to SM in favor of 'Sparkleminds' by NEFT / RTGS payable at Bangalore. All the above payments will have to be paid at the beginning/end of each of the above phases and are completely non-refundable and non-adjustable against any other service.

10. Expenses

The following expenses (only if applicable) are excluded in the above proposal: (a) Transportation, food, mileage and lodging; (b) Designing, Printing, Photography and Stock Photography Fees; (c) Courier Delivery; (d) Outside Professional services fees, legal, research, accounting and audit; (e) International Telephone and Bank Charges. Client shall pay all expenses of Courier, CD, Word processing, typing, photocopying of materials prepared and done for Clients. Client shall reimburse in advance, on an as-billed/estimate basis, for any travel, room and board expense incurred by SM on behalf of Client. Client agrees to pay for all printing costs of brochures, advertisements and for all photography and camera-ready artwork. All other additional professional charges to design agencies, legal firms, and research agencies would be extra and pre-approved if Client needs any such services. All expenses mentioned above or done on behalf of the Client, has to be done only after prior approvals from the client. No expenses will be incurred by Sparkleminds without the Client's prior written / telephonic / E-mail / WhatsApp approval.

11. Cooperation

Client acknowledges that its cooperation is essential to the timely completion of the services to be performed by SM pursuant to this agreement. Therefore, Client agrees to make its staff and facilities available to SM upon reasonable request and to promptly provide SM with all materials so requested and to timely respond to inquiries of SM.

12. Confidentiality

SM hereby covenants and agrees that any and all information received from Client shall be treated as absolutely confidential and shall not be divulged to any person or entity for any purpose whatsoever other than the purpose of offering the franchise to any prospective franchise buyer or any other franchise interest of the Client. In a similar fashion the Client would not share any templates, documents, proposals, agreements, information gathered through SM with anybody ensuring complete confidentiality of all work that is done with the Client.

13. Non-Solicitation

The Client shall not employ any SM employee or take any services beyond the scope of services mentioned in this agreement, for a period of 3 years from the expiry of this contract. This also includes SM employees who are not directly involved in the project of the Client. The same clause will apply vice versa for SM who shall not hire any employee of the Client.

14. Taxes, Levies, Duties and Other Charges

All Taxes and statutory levies are extra as applicable. All payments made to SM are completely non-refundable or non-adjustable against heads/services/phases other than the heads/services/phases invoiced to the Client by SM.

15. Disclaimer

(I) The Client hereby confirms that all such acts lawfully performed by SM in the interests of the Client will be valid and binding on the Client. SM, its Founders, Partners, Managing Directors, Officers, employees, or agents will in no manner be liable to the Client for any incidental, indirect, special or consequential damages occurring out of this agreement. Furthermore, SM's total liability to the Client for all damages, losses, and causes of action shall not exceed the amount of fee paid by the Client for a particular assignment.(II) All work covered under this agreement will be completed within the timelines mentioned. Work not completed by the said timelines, due to the Client-caused delays, will be completed by SM at Client's expense. The Client understands and confirms that the success of a franchise program depends upon a variety of factors outside of SM's control. SM cannot and does not warrant the success of any such program.(III) The Client also agrees that SM will have nothing to do with the profits and losses occurred with any franchisee or third party that is introduced / signed.

16. Validity, Termination & Renewal

(I) This agreement is valid for a period of 6 [Six] Months from the date of this agreement and shall stand terminated at the end of the said term. The Client will receive the Standard SM franchise questionnaire from SM within 2 (Two) working days of sign up. The questionnaire could be completed within a max period of 2 weeks and request for the first consulting meeting within one week of submission. The consultant will submit the first draft of the franchise marketing kit within 3 weeks of the first consulting meeting.

(II) Once the Client approves the marketing phase then all franchisees appointed by the Client within that period shall be deemed as appointed by SM.

(III) All franchisees who have signed the franchise agreement with the Client after termination of this agreement and who have reached out to the Client while the agreement was in force will also be deemed as appointed by SM.

(IV) The agreement would be renewed for a further period of 3 [Three] Months once the client makes the payment for the franchise marketing services.

(V) Both the parties are free to terminate the agreement by giving each other a written notice of termination effective 30 days from the said notice, after all payments have been cleared.

17. Notice

All notices and other communication under this Agreement shall be in writing and sent at the addresses given herein either by Speed Post / Courier / Email or by electronic media.

IF TO Sparkleminds	IF TO AAA
Kind Attention: Mr. Amit Nahar #307 Swiss Complex, 33 Race Course Road, Bangalore-560001, Karnataka, India E-mail: amit@sparkleminds.com	Kind Attention: AAA AAA E-mail: AAA@AAA.AA

18. Dispute Resolution

The Parties to this Agreement agree and confirm that appropriate Court(s) at Bangalore, Karnataka alone shall have the exclusive jurisdiction to entertain any dispute, controversy or claim arising out of or relating to this Agreement, or the breach, termination or invalidity thereof.

19. General Clauses

(a) Corporate Authorization — Both Parties agree and confirm that the respective representative have the requisite authorizations to enter into this Agreement on their behalf.(b) Severability — If any term and/or provision of this Agreement is struck down or is unenforceable, the remainder of this Agreement shall not be affected thereby.(c) Stamp Duty and Legal Cost — Both Parties agree to individually bear their own legal and financial expenses with respect to this transaction. (d) Entire Agreement — This Agreement represents the entire agreement between the Parties in relation to the terms of the matters contained herein and shall supersede any previous drafts, agreements, term sheets, or understandings.(e) Force Majeure — No Party shall be liable to the other if performance is prevented, restricted, delayed or interfered with due to circumstances beyond its reasonable control, including Government legislations, fires, floods, explosions, epidemics, accidents, acts of God, wars, riots, strikes, lockouts, or other concerted acts of workmen.(f) Counterparts — This Agreement may be sealed with rubber stamp, signed in counterparts and may be sent via WhatsApp, email or original copy through courier service. Any such signature sent through email or WhatsApp shall be deemed to be in the original for all purposes.(g) Amendments — No amendment or variation of this Agreement shall be effective unless in writing and signed by a duly authorized representative of each of the Parties.

IN WITNESS WHEREOF

the Parties herein have caused this Agreement to be duly executed as of the date first mentioned written above.

Signed, Sealed & Delivered by SM:	Signed, Sealed & Delivered by Client:
Sparkleminds	AAA
Signature: _____	Signature: _____
Full Name: Mr. Amit Nahar	Full Name: AAA
Designation: CEO	Designation: AAA
Date: _____	Date: _____
Place: _____	Place: _____

In presence of Witnesses:

Witness I (on behalf of SM)	Witness II (on behalf of Client)
Signature: _____	Signature: _____
Full Name: AAA	Full Name: _____
Address: AAA	Address: _____
Date: _____	Date: _____